

Oracle Q2 2026 Earnings

Blind Sentiment & Directional Score: Financial results only

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Financial results only** as the ONLY report content. The other sections (forward guidance, the earnings call Q&A) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Oracle Corporation (ORCL)
Report	Fiscal Q2 2026 (November quarter)
Release date	Wednesday 10 December 2025, after close
Earnings call	5:00pm ET
Source	Motley Fool transcript
Read mode	cold; reported financial results only, no guidance, no Q&A, no price chart
Time to produce	38 minutes

Source material (read ONLY this)

Headline financials (assigned source: financial results only)

- Total revenue \$16.1B, up 13% in constant currency. Cloud revenue \$8.0B, up 33%, now half of total revenue.
- Cloud infrastructure (OCI) \$4.1B, up 66%; cloud applications \$3.9B, up 11%; GPU-related cloud revenue up 177%.

- Remaining performance obligations \$523.3B, up 433% year over year and up \$68B since August. Short-term RPO up 40%.
- Operating income \$6.7B, up 8%. Non-GAAP EPS \$2.26, up 51%; GAAP EPS \$2.10, up 86%.
- Capital expenditure \$12B. Operating cash flow \$2.1B; free cash flow negative \$10B.

Your scoring: fill in below, then seal

1 Sentiment score

Score: +0.70

Rationale. OCI up 66%, GPU cloud up 177%, RPO of \$523B up 433%, and non-GAAP EPS up 51%: the backlog and growth figures are extraordinary.

2 Directional signal

Signal: BUY

Rationale. A backlog of this size with OCI accelerating is the bull case made concrete. BUY.

3 Structured summary

- **What the source shows.** RPO at \$523B, up more than fivefold, dominates the numbers.
- **What the source cannot show.** No guide, so cannot see how the backlog converts to revenue or over what period.
- **Expectations bar.** Growth of this magnitude would beat almost any expectation.
- **Conviction.** High conviction on the growth lines; negative \$10B free cash flow is the caveat.

4 Evidence quotes

1. Total revenue \$16.1B, up 13% in constant currency. Cloud revenue \$8.0B, up 33%, now half of total revenue.
2. Cloud infrastructure (OCI) \$4.1B, up 66%; cloud applications \$3.9B, up 11%; GPU-related cloud revenue up 177%.
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— SEALED —

Overnight move and call verification

ORCL close, 10 December 2025 (release day)	\$223.01
ORCL open, 11 December 2025	\$190.62
Overnight move	−14.52%

Call verification

- HOLD band test: $|-14.52\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is negative, so the correct directional call is **SELL**.

- Score given vs. correct call: signal was **BUY**, correct call **SELL**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	− 14.52 %
D+1 close	−10.83%
D+3 close	−17.08%
D+5 close	−19.98%
D+10 close	−11.44%
D+20 close	−10.98%